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29.02 Essentials of a Valid Contract

"All agreements are contracts, if they are made among parties – by free consent of the parties, competent to contract, for a lawful consideration and with a lawful object, and not hereby expressly declared to be void." Sec.10

1. Offer and Acceptance

There must be two parties to an agreement namely one party making the offer and the other party accepting it.

2. Legal Relationship

The parties must have the intention to create legal relationship between them. An agreement of Social or domestic nature is not at all a contract.

3. Lawful Consideration (quid pro quo)

As per Contract Act under Sec.2 (d) Consideration means something in return. A contract without consideration becomes invalid. It may be in cash or kind or in any form as specified in the act. Consideration must not be unlawful, immoral or opposed to the public policy.

4. Lawful Object (Section 23)

The object of agreement should be lawful and legal. It must not be immoral, illegal or opposed to public policy. Two persons cannot enter into an agreement to do a criminal act.

5. Free Consent (Section 13 & 14)

Consent of the parties must be free and genuine. Consent means agreeing upon same thing in the same sense at the same time i.e. there should be consensus – ad – idem. Consent is said to be free when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake.

6. Capacity of Parties (Section 11)

The parties to a contract must have capacity (legal ability) to make valid contract. The Indian contract Act specifies that every person is competent to contract provided he

(i) is of the age of majority according to the Law which he is subject to, and

(ii) who is of sound mind and

(iii) is not disqualified from contracting by any law to which he is subject to, an alien enemy, foreign sovereigns and accredited representative of a foreign state, insolvents and convicts are not competent to contract.

7. Certainty of Terms (Section 29)

The agreement should be clear to the parities of the agreement. The agreement must be precise. For example X informs Y "I agree to sell my car". X has four cars. Here nothing is stated about which car he is going to sell. There is no clarity of terms.

8. Possibility of Performance (Section 56)

The terms of the agreement should be capable of performance. An agreement to do an act, impossible in itself cannot be enforced. For example A agrees to B to discover a new planet. The agreement is void because the act in itself is impossible to be performed from the very beginning.